Conflict of Interest Management Plan

Brigham Young University

Department of Mechanical Engineering, Ira A. Fulton College of Engineering

Faculty member	Sterling G. Baird, Assistant Professor, Mechanical Engineering (the "Faculty Member")
Company	NewCo, Inc. (TBD), a Delaware corporation (the "Company") to be co-founded by the Faculty Member with [Co-founder] upon department approval of the outside activity
Governing policies	Conflict of Time or Interest; Financial Conflict of Interest in Research; Intellectual Property; Financial Disclosure Form and Instructions; Sponsored Projects Handbook; Recharge Center Policy
Effective date	[date]
Review	annual, with the Faculty Profile outside-activity disclosure

A. Role and principal duties of the conflicted investigator

1. The relationship and its limits

1.1 The Faculty Member will co-found the Company and hold **more than ten percent equity** while remaining on a full-time faculty appointment (as opposed to a personal leave).

1.2 **Advisory roles only.** The only Company roles are stockholder and advisory roles such as **[Chief Scientific Advisor]**: advisory, with no officer title, no employment relationship, and no board vote.[1]

1.3 **No pay from the Company**: no salary, consulting fees, bonuses, honoraria, or other compensation. Stock is the only financial interest.[2]

1.4 **Travel is reimbursed at cost, and reported.** The Company may reimburse the Faculty Member's documented airfare, lodging, and meals for a trip whose purpose is Company business: actual cost, the Faculty Member alone, no per diem above cost, nothing else of more than nominal value. Those days count against the four-day allowance (2.1); no trip is paid twice, and university business, including conference travel to present BYU research, stays on BYU funds. Each reimbursed trip is reported on the annual financial disclosure by sponsor, purpose, dates, and destination per the form's requirements.

1.5 **The inventor's royalty share is forfeited.** At ten percent or more the Faculty Member is a "principal equity owner" and gives up the inventor's 45% share of BYU's licensing income from the Company, with the matched research-account option per policy[3]

1.6 **No voting board seat** if more than $3M has been raised. Optionally, an observer seat may be offered at Company's discretion as an exception, given the Faculty Member notifies BYU in advance.[4]

[1] Sponsored Projects Handbook: "Faculty members not on leave are not to be line officers in outside companies." Also Conflict of Time or Interest Policy.

[2] Intellectual Property Policy: a faculty member may consult for a company or take part in research it sponsors, not both. Exceptions need chair, dean, and the written approval of the Associate Academic Vice President for Research ("the AAVP").

[3] Intellectual Property Policy: "a principal equity owner is one who controls ten percent or more equity in the company," and such a developer "will forfeit his or her distribution."

[4] A voting seat is allowed only where the company "has not raised more than $3,000,000," and then only "on rare occasions" with the dean, the AAVP, and the Technology Transfer Office approving in writing (Intellectual Property Policy).

1.7 Neither role speaks for the other. The Faculty Member does not represent BYU in any Company matter or the Company in any BYU matter, and commits neither to anything. The Company does not use BYU's name, logo, or facilities in its advertising or investor materials except as BYU authorizes in writing.[5]

B. Conditions of the plan

2. Time, teaching, and availability to students

2.1 All Company activity fits inside BYU's outside-activity allowance: **at most four days a month** across every outside activity combined, with the chair's prior written approval.[6] The Faculty Member keeps a count of the days used and reports the total to the chair with the annual disclosure.

2.2 Teaching and students come first. Classes, class preparation, and office hours are held as scheduled, and student and research-group meetings go on the calendar before Company commitments. Company time taken during a workday is made up on evenings or weekends.[7]

2.3 The chair reviews that total at annual review against the policy's standard (availability to students; teaching, scholarship, and citizenship performance) and may require Company time to be reduced.

3. Contracts: who negotiates and who signs

3.1 The Faculty Member takes **no part in negotiating, approving, or influencing any agreement between BYU and the Company, on either side of the table**: the license, every research agreement, every equipment placement, and any gift. The Company is represented by one of its officers ([name/title]); BYU by the Research Administration Office, the Technology Transfer Office, or the Office of General Counsel.[8]

3.2 The Faculty Member does not advocate for any such deal or its terms with the chair, dean, Research Administration Office, Technology Transfer Office, or the AAVP, directly or through colleagues.

3.3 Still permitted, all ordinary faculty duties: technical input on scope of work through the Research Administration Office's designated contact; serving as named technical contact once an agreement is signed; and signing the inventor's acknowledgment of a license or a royalty Distribution Agreement.[9]

3.4 If the Company sells to BYU, the sale happens only after the Faculty Member is approved as an employee-vendor by Purchasing & Travel, Compensation, and Regulatory Accounting, and the Faculty Member takes no part in the purchasing decision. An employee whose access to non-public BYU information would give their company an unfair advantage may not do business with the university at all.[10]

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[5] Intellectual Property Policy: "The name of the university shall not be used… in any advertising."

[6] Conflict of Time or Interest Policy: "up to four days per month."

[7] Conflict of Time or Interest Policy, compensating-time expectation.

[8] Conflict of Time or Interest Policy lists as unmanageable "negotiating, influencing, or attempting to influence the negotiations of contracts or agreements between the university and a third party for the benefit of the employee or a Related Party."

[9] Technology Transfer Office, "Working with the Technology Transfer Office."

[10] Employee-Vendor Policy, in the sign-in policy library at policy.byu.edu.

4. Company-sponsored research and cost recovery

4.1 Any Company use of lab personnel, students, or facilities runs under a written agreement selected and signed by the authorized university office: a **sponsored research agreement** for research work (the default, at BYU's standard terms, with no lasting restrictions on publication), a cost-recovery account for instrument time (4.4), or an equipment agreement (6.4). No Company work happens in the lab outside a signed scope of work. Only faculty on regular appointments and certain research faculty may be principal investigators, so that responsibility cannot be delegated to students, postdoctoral fellows, or staff.[11]

4.2 **Independent review of the science.** A senior faculty member with no Company interest, designated by the dean ([•]), reviews each Company-sponsored project before work begins and at least annually after: funding, student roles, publication freedom, and the separation of Company from university work. The reviewer reports to the chair and the AAVP, and the chair may pause affected work while a concern is open.

4.3 Publications and presentations from Company-sponsored or license-related work disclose the Faculty Member's Company interest, and BYU's stock position where BYU holds one. If BYU accepts Company stock, the university's own interest is reviewed by the AAVP with the Office of General Counsel, separately from this plan.

4.4 **Cost recovery.** Sales of instrument time outside a research agreement run only through a cost-recovery account approved by the chair, dean, and Regulatory Accounting, with outside users billed at the external rate including overhead and the tax treatment settled before billing starts.[12] That revenue is budgeted to student wages, equipment, and student travel. None of it funds the Faculty Member's salary, summer salary, or travel.

5. Students

5.1 **Notice and an independent advocate.** Every lab member receives written notice of the Faculty Member's Company interest, and BYU's if BYU holds stock, on joining and annually after, with a copy to the chair. The graduate coordinator or associate chair, who has no Company interest, meets the students at least once a semester without the Faculty Member present, and students may go to them, the chair, or the dean's office at any time.

5.2 **Participation is voluntary, and academic timelines govern.** No student is required to take Company-sponsored work, retaliation is prohibited, and the choice never affects grades, authorship, or letters. The Faculty Member will seek to keep enough non-Company funding available for students who decline, so far as the ordinary research duties of the position allow, which includes writing and winning grants. Company tasks exist only inside a signed scope of work, never as part of a BYU role. Graduate thesis topics, timelines, and publication schedules are set on academic grounds; no graduate thesis is embargoed and no defense placed under a confidentiality agreement. Where a patent filing has to come first, the lab files a provisional application before the defense.

5.3 **One employer at a time.** A student works for BYU or for the Company, never both at once. A student taking Company work ends or suspends the BYU appointment first; a Company employee joining the lab payroll ends the Company employment first. Either way it is done in writing, with the chair told, and the student may return to the other side afterwards without

[11] Intellectual Property Policy: such work "must be administered as sponsored research projects when there is a substantial use of university resources or when BYU students are employed." Sponsored Projects Handbook for the principal-investigator rule.

[12] Recharge Center Policy and Procedures. The published copy is dated 2005 and sits outside the university policy library; nothing in this clause is settled until Regulatory Accounting confirms which document governs.

prejudice. University employment stays inside BYU's caps: 20 hours a week in fall and winter semesters, with stricter limits for international students, whose visa status can be at stake.[13] A student supported other than by employment discloses any Company work on a related subject to the chair.

5.4 Company jobs and internships. A student may work for the Company, a graduate student the Faculty Member supervises included. A student who wants Company work is referred to the advocate and the chair for advice independent of the Faculty Member; the advocate reviews the offer's terms (duties, hours, pay, invention-assignment and confidentiality obligations, visa implications) before it is accepted; the chair is told in writing beforehand; and the arrangement is reported on the annual disclosure.[14]

5.5 Academic judgment stays separate from Company direction. Where a supervised student also works for the Company, day-to-day direction and evaluation of the Company work sit with someone other than the Faculty Member if the Company has someone to do it, and the graduate committee is told either way. Graduate thesis scope, milestones, grades, authorship, and letters are decided on academic grounds, and the committee or the chair reviews any of them if the student, the advocate, or the chair asks. An internship taken for credit is arranged and graded by someone other than the Faculty Member. Company work is a separate engagement with an end date, and no graduate thesis depends on its continuing.

6. Company people and university resources

6.1 No university resources for Company work. "University Employees may not use university resources, facilities, or work time to engage in commercial activities, businesses, or 'start-up' companies."[15] All Company work runs on Company-owned laptops, accounts, software, and storage, and on campus Company business travels on the Company's own connection rather than a BYU network, guest access included. No Company data on BYU systems, and no non-public BYU information on Company systems.

6.2 Campus office, limited use. Company use of the campus office is limited to occasional calls and correspondence on Company devices: incidental use that displaces no university work and puts no cost on the university. No Company equipment is kept there unless an equipment agreement covers it (6.4). This plan asks the **dean and the AAVP** to authorize that use in writing alongside the outside role.[16]

6.3 Company personnel. Everyone working in the lab signs the Technology Transfer Office's existing Employee and Student Assignment of Ownership and Non-Disclosure Agreement, which BYU already requires as a condition of taking part in research, paid or unpaid.[17] Company employees

[13] Student Hiring and Employment Policy, and Conflict of Time or Interest Policy, which requires a student to disclose work done for BYU and a third party on the same subject.

[14] No BYU policy bars this. The Financial Conflict of Interest in Research Policy lists "[u]sing university employees (e.g., students or staff) to perform services for an outside entity in which the Investigator ... has an equity ownership, managerial or consulting role" among the interests a plan manages, and the Conflict of Time or Interest Policy has a student working "on the same issue for BYU and a third-party" disclose it, after which the supervisor and student "develop a written plan." The independent-advice step follows Stanford's Best Practices for Faculty Start-Ups.

[15] Intellectual Property Policy. The Appropriate Use of Information Technology Resources Policy reaches "all individuals and entities who maintain or use IT Resources," counts BYU's "networks and networking systems" among them, and bars use "for non-university commercial purposes" absent written authorization from the responsible vice president and the chief information officer.

[16] Conflict of Time or Interest Policy defines "Incidental Use" as "occasional or infrequent personal use that results in little or no cost to the university." The Expectations of a Faculty Appointment Policy requires "the explicit written approval of the appropriate university supervisors" to "use his or her campus office for business purposes." A chair's signature alone does not clear the 6.1 prohibition, which carries no chair-level waiver.

[17] Technology Transfer Office, Resources and Forms. It is signed "in consideration of the opportunity to receive wages or financial support and/or training," so it reaches unpaid participants as well as employees.

never work in the lab informally or as "volunteers."[18] They come on campus only under a written agreement, whether a visiting appointment, the sponsored agreement, or a services contract, signed at the tier its value and term require. Before any of them starts work, the Company is told in writing that as a condition of taking part, BYU may claim a non-exclusive, perpetual, royalty-free license in whatever a person not employed by BYU makes under faculty supervision or with substantial university resources.[19]

6.4 Equipment placements. Company equipment enters the lab only under a university-signed agreement, an equipment loan or a term of the research agreement, settling ownership, insurance, maintenance, access, export-control screening, and removal before delivery. Students use placed equipment for university research or within the sponsored agreement, and it is reported as outside support on federal applications.

7. Inventions and open-source release

7.1 Open by default. The lab releases its software and hardware openly, under the lab's published open-science policy and the Company's published licensing policy. Both are adopted in advance and outside any BYU negotiation, and both sides recognize them as governing what gets released. BYU's ownership of university inventions is unchanged by either.

7.2 Inventions those policies do not cover go to the Technology Transfer Office, which decides whether the university pursues protection or releases the rights, and that decision is obtained in writing before such an invention is licensed, assigned, or contributed to the Company. Both sides keep records of where, when, and with what resources each invention was made. Because BYU's claim reaches inventions "related to the current or demonstrably anticipated business, research, or development of the university," records alone do not settle ownership: a Company-side invention near the lab's field is disclosed and decided the same way.[20]

7.3 Company assignment documents. No Company invention-assignment or prior-inventions agreement is signed by the Faculty Member or any lab member without an express carve-out for BYU-owned and BYU-assignable work. That form goes to every employee and intern, not only to founders.

C. How compliance is monitored

8. Reporting, review, and remedies

What	When	To whom
Outside-activity disclosure in Faculty Profile, days used (2.1), advocate's student review (5.1), and independent reviewer's report (4.2)	annually	chair, and the AAVP for the reviewer's report
Financial disclosure, including Company travel (1.4)	annually, updated within 30 days	Research Administration Office
Company financing, ownership change, change of role or title, new proposed transaction with BYU, or contemplated leave	within 30 days	chair and Research Administration Office

[18] Volunteer Policy: service must be "in furtherance of the university's nonprofit objectives," "unpaid service in furtherance of the university's commercial activities" is prohibited to comply with federal law, and volunteers "cannot, even on a temporary basis, displace employed workers."

[19] Intellectual Property Policy: where such a person works "under the supervision and direction of a faculty member" or "uses substantial university resources," BYU may claim "a non-exclusive, perpetual, royalty-free, paid-up, irrevocable license to exploit, use, and sublicense the resulting Intellectual Property."

[20] Intellectual Property Policy. This plan cannot promise that a release or carve-out will be granted.

8.1 The chair monitors compliance through completion of the affected projects, not only at annual review.[21]

8.2 The AAVP reviews this plan annually with the chair and dean and may strengthen it at any time using the tools policy names (an independent monitor, removal from a project, reduction or elimination of the interest), or end it in writing when the interests in section 1 no longer exist.

8.3 Commitments here about Company conduct are confirmed in a one-page acknowledgment signed by an authorized Company officer and attached: no unauthorized use of BYU's name (1.7), no informal approaches to students (5.4, 6.3), and no Company personnel or equipment in the lab outside signed agreements (6.3, 6.4). Failure to follow this plan is handled under the governing policies, which provide for retrospective review.

D. The investigator's agreement

9. Changes that require amending this plan first

Any officer title, employment relationship, or voting board role at the Company; any leave of absence; any paid consulting for the Company, which collides with taking part in research it sponsors and needs chair, dean, and written AAVP approval (1.3); the Company selling anything to BYU (3.4); any Company agreement asking the Faculty Member or a lab member to assign inventions or prior inventions (7.3); any research involving human subjects that touches the Company; and any change in the facts of section 1.

The Faculty Member agrees to be bound by these conditions and submits this plan with the Financial Disclosure Form, whose signature block carries the approvals of the department chair, the dean or associate dean, the Research Administration Office, and the AAVP. The Technology Transfer Office, Regulatory Accounting, and the Office of General Counsel are routed for concurrence; their approvals attach to the transactions this plan governs rather than to the plan itself.

[21] Financial Conflict of Interest in Research Policy. The 30-day update of *financial* disclosures is required by that policy; the other 30-day triggers above are terms of this plan.